Crumb & Co: Final Project Summary

Capstone 27: AI Business Plan Draft Assistant. Prepared 25 October 2026.

Project at a glance

Item	Detail
Project question	Can AI help write a first-draft business plan, and which parts are most likely to be wrong?
Business	Crumb & Co, a fictional home bakery in Chennai
Products	Eggless cakes (½ kg and 1 kg), brownie boxes, cookie boxes, gift hampers
Customers and channel	Families, college students, office and birthday orders, through Instagram and WhatsApp
Startup budget	₹1,00,000
AI tools used	Claude, Gemini, Google Sheets, Google Docs, Gamma [confirm the tools you actually used; at least four are required]
Skills used	Prompt engineering, content writing, research and verification, presentation tools, productivity workflow, responsible AI

Short answer

Yes, AI can write a useful first draft. The AI produced a complete, well-structured plan with correct arithmetic, and it gave a solid base to check and correct.

The parts most likely to be wrong are the ones that depend on facts outside the draft: current rules and fees, local prices and utility costs, costs that look set to hit a target, assumptions about demand, and consistency between sections. Fourteen problems were logged, and none of them was a clearly fabricated source. Most were outdated, unrealistic or unsupported assumptions stated with confidence.

What I did

1. Chose a business and set up the profile and time log.

2. Drafted the executive summary, market, operations, marketing and financial outline with AI prompts.
3. Built a revenue model in Google Sheets with four tabs: Assumptions, Products, Monthly Projection and Break-even and Startup.
4. Checked every number and claim against official, news and marketplace sources, and logged each problem.
5. Sent the plan for mentor or peer review [add feedback received].
6. Built a 6-slide summary deck [add link].
7. Compared AI-assisted and unassisted drafting time [add results].
8. Compared the first AI draft with the final version.
9. Recorded a demo.

The AI's first-draft numbers

Measure	AI first draft
Average order value	₹667
Contribution per order (after ingredients, packaging, 8% wastage)	₹359
Monthly fixed costs	₹4,300 in the projection, ₹5,800 in break-even
Break-even orders a month	17 with no owner's pay, 58 with ₹15,000, 86 with ₹25,000
Order ramp	9 to 28 a week over six months
Surplus, months 1 to 6, before owner's pay	₹1,48,600
Payback of the ₹1,00,000 startup cost	About month 8 (with ₹15,000 owner's pay)

The arithmetic in the AI's tables was correct. The weaknesses were in the assumptions underneath.

What I found

Finding	Evidence
The licensing line is mostly unexplained	FSSAI registration costs about ₹100 a year, and the turnover limit is now ₹1.5 crore (from 1 April 2026), against a ₹20,000 budget line
Cake prices look high	½ kg cake ₹750 vs Chennai listings of ₹530 to ₹549. 1 kg ₹1,400 vs ₹930 to ₹999. Brownie box ₹480 vs ₹375
Costs look set to hit a target	Every product sits at 37 to 39% cost, "inside the target range". An illustrative costing of a ½ kg cake came to about ₹157 against ₹230, so the level may be fine but the uniform ratios are not
Gas and electricity budget is too low if using gas	One commercial cylinder costs about ₹2,984, against a ₹2,500 budget. An electric oven would cost about ₹900 to ₹1,500
Packaging looks overstated	The model's per-unit figures are 1.2 to 4 times the sum of the parts I could price
The plan contradicts itself	₹4,300 of fixed costs in the projection, ₹5,800 in break-even
An AI tool gave outdated advice	Claude cited the old ₹12 lakh FSSAI limit in chat, which was corrected
Some assumptions held up	UPI payments stay free at your prices and volumes. Delivery costs about ₹50 for 5 km if you pay

Sources include FSSAI orders, Swiggy menus, IndiaMART listings, DT Next and GoodReturns for LPG prices, and NPCI payment-charge reports. Many marketplace figures are undated and not Chennai-specific, so they are marked as references to confirm.

Error log summary

Measure	Count
Total entries	14

Measure	Count
High severity	6
Medium severity	6
Low severity	2
Applied	4
Pending	10

By type: unverified or untested assumptions (4), budget lines that look wrong or unitemised (4), internal consistency and wording (3), pricing and cost realism (2), outdated information (1).

Time comparison

[Fill in from the Time Comparison workbook.]

Measure	Result
Minutes without AI (comparable tasks)	
Minutes with AI	
Minutes saved before checking	
Minutes spent verifying AI output	
Net minutes saved	

Note whether each no-AI time was measured or estimated.

Mentor or peer feedback

[Add one accepted and one rejected piece of feedback, with reasons.]

Responsible AI practices

- Every AI number was treated as an assumption until checked.
- Sources and dates were recorded, and weak sources were marked as weak.
- Where evidence was missing, the plan says so instead of guessing.
- An AI tool's own error (the outdated licensing limit) was logged, not hidden.

- No personal data was put into AI tools.

Limitations

- Demand, recipe costs, electricity use and delivery distances still need your own data, so the revenue model is not yet final.
- Competitor prices come from two Chennai bakeries on Swiggy and undated marketplace listings. Instagram prices were not checked.
- Several fee figures come from secondary guides and should be confirmed on the official FoSCoS portal.
- The business is fictional, so no real sales data exists.

Recommendations

1. Use AI for structure and first drafts.
2. Build costs from recipes, not target percentages.
3. Verify rules, fees and prices on official or dated sources before using them.
4. Ask for low, expected and high demand estimates, not one number.
5. Check that every section uses the same figures.
6. Log each AI error as you find it, with its source and fix.

Deliverables

Deliverable	Location
Business plan	Financial Outline plus your other four sections [add link]
Revenue model	Bakery_Revenue_Model.xlsx
Deck	[add link]
Error log	Error Log
Time comparison	Time_Comparison.xlsx
Prompt library	Prompt Library
Verification report	Verification Report and Error Log and Real Price Tracker
Before/after analysis	Before and After Analysis

Deliverable	Location
Mentor review	Mentor Review Pack and Feedback Log
Final demo	Demo Script and Submission Checklist and your recording [add link]
Progress tracking	Project_Status_Tracker.xlsx